# Hana Materials (166090 KS)

## Record earnings expected in 2027, trading at 9.9x P/E

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**BUY (I)**

| | |
|---|---|
| Target price | W100,000 (I) |
| Previous target price | - |
| Current price (Oct 21) | W54,900 |
| Upside potential | 82% |

| | |
|---|---|
| Market cap (Wbn) | 1,086 |
| Shares outstanding | 19,777,674 |
| Avg daily T/O (2M, Wbn) | 9 |
| Avg daily volume (2M, shrs) | 168,346 |
| 52-week high/low (won) | 81,100 / 37,250 |
| Foreign ownership (%) | 23.46% |
| Dividend yield (%) | 0.70% |
| Major shareholders | Hana Micron & others |

**Stock performance**

| (%) | 1M | 3M | 12M |
|---|---|---|---|
| Absolute | (4.4) | 3.0 | 29.3 |
| Relative | 0.9 | (2.1) | 42.3 |
| Abs (US$) | (0.3) | 14.5 | 39.3 |

### 3Q26 preview: OP estimated at W27.2bn

We estimate 3Q26 sales at W97.0bn (+7.9% QoQ, +39.3% YoY) and OP at W27.2bn (OPM 28.0%, +4.0% QoQ, +125.1% YoY), exceeding the respective one-month consensus estimates of W96.6bn and W26.1bn. 1) This reflects the rapid progress of NAND process migration at domestic memory customers and accelerating demand for silicon parts used in DRAM production, particularly at advanced nodes of 1bnm and below. 2) These estimates already reflect unavoidable one-off costs associated with setting up dedicated facilities in 2H26, suggesting that the company is entering the early stages of stronger operating leverage from sales growth. 3) However, valuation losses on exchangeable bonds issued in 3Q26 will likely limit quarterly net profit to W1.6bn (NPM 1.7%, -91.7% QoQ, -82.2% YoY).

### Reinstate coverage at BUY and target price of W100,000

For 2027, we forecast annual OP to reach a record W147.2bn (OPM 31.1%, +43.7% YoY). The company's largest customer, Tokyo Electron (TEL), which accounts for approximately 60-70% of sales, projected the size of the WFE market at over $150bn in CY2026 and over $190bn in CY2027, implying annual growth of above 20%. The combined share of DRAM and NAND in WFE spending is also expected to rise from 35% in CY2025 to 40% in CY2026, supporting Hana Materials' earnings given its high exposure to memory. We particularly highlight TEL's guidance for etching equipment sales growth of over 25% in FY2027 (Apr 2026-Mar 2027) and its established position as the process of record (POR) in memory capacitor and HBM-related processes.

We reinitiate coverage on Hana Materials at BUY and a target price of W100,000, which we derived by applying a target P/E of 19.4x to 2027E EPS of W5,546. The firm's EPS is projected to grow to W3,059 in 2026 (+57.7% YoY) and W5,546 in 2027 (+81.3% YoY), marking an impressive two-year average growth rate approaching 70%. Shares currently trade at a P/E of 9.9x based on expected 2027 earnings, near the lowest historical average P/E since 2017 (9.8x in 2028). With memory suppliers securing the majority of their 2027 volume in LTAs and expanding equipment shipments from TEL, Lam Research, and company "S" enhancing earnings visibility, we believe the stock is significantly undervalued relative to its earnings growth. Going forward, three key points to watch for are: 1) capex momentum in preparation for 2027-2028; 2) rising ASP on the expansion of the high value-added SiC parts business; and 3) broader exposure to overseas foundries, all of which should play as positives for future earnings and the share price.

**Quarterly earnings**

| (Wbn) | 3Q26E | % YoY | % QoQ | Consens | vs consens (%) |
|---|---|---|---|---|---|
| Sales | 97 | 39.3 | 7.9 | 96 | 0.8 |
| OP | 27 | 125.1 | 4.0 | 26 | 1.2 |
| Pre-tax net profit | 2 | -81.2 | -91.7 | 10 | -8.4 |
| Net profit, CI | 2 | -82.2 | -91.7 | 10 | -8.4 |
| OPM (%) | 28.0 | +10.7 %pt | -1.1 %pt | 27 | 1.2%pt |
| NPM (%) | 1.7 | -11.5 %pt | -20.3 %pt | 11 | -9.1%pt |

Note: CI = controlling interest

**Forecasts and valuations (K-IFRS, consolidated)** (Wbn)

| FY ends Dec | 2024A | 2025A | 2026E | 2027E |
|---|---|---|---|---|
| **Sales** | 250 | 273 | 377 | 474 |
| OP | 43 | 51 | 102 | 147 |
| Net profit, CI | 32 | 38 | 60 | 110 |
| P/E (x) | 27.3 | 16.4 | 17.9 | 9.9 |
| P/B (x) | 2.4 | 1.3 | 1.0 | 0.7 |
| EV/EBITDA (x) | 13.4 | 8.6 | 5.8 | 1.5 |
| ROE (%) | 8.4 | 9.4 | 8.0 | 8.3 |

Source: Yuanta Securities

*For analyst certification and other important disclosures, refer to the Appendix at the end of this report.*

# 1. Korea's leading silicon parts supplier

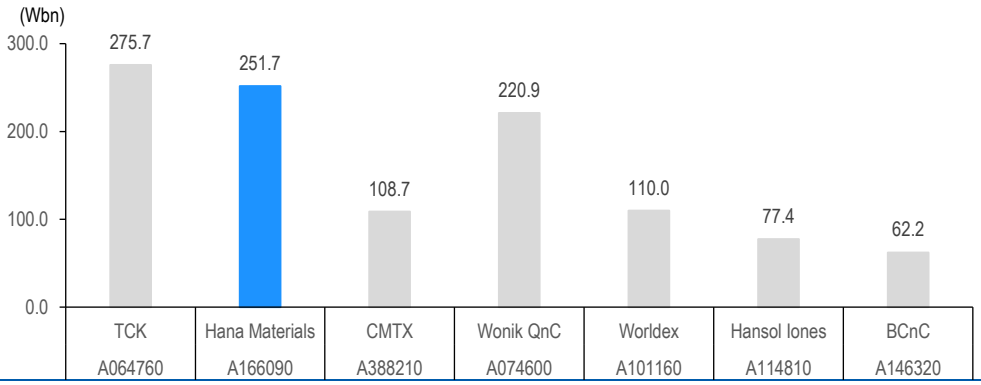
Hana Materials supplies silicon (Si) and silicon carbide (SiC) parts for semiconductor etching processes. Silicon parts accounted for 88.9% of sales in 1H26. With an integrated production system spanning single-crystal ingot growth to parts machining, the company holds the largest share of Korea's silicon parts market.

Its core silicon products used inside semiconductor etching chambers comprise: 1) upper electrodes (perforated silicon plates that distribute gas, also called showerheads or cathodes); and 2) silicon rings surrounding the wafer (also known as focus rings). Electrodes and silicon rings accounted for 49% and 41% of sales, respectively, in 1H26. The remaining 10% came from SiC and other products, including CVD SiC rings. More durable than conventional silicon rings, SiC rings are used in demanding etching processes such as those for high-layer-count NAND.

The company generates revenue by supplying components directly to global semiconductor etching equipment manufacturers. It primarily serves the OEM market, supplying both initial parts installed in new equipment and replacement parts through equipment makers. Its selling prices should therefore be more stable than those of aftermarket suppliers selling directly to integrated device manufacturers (IDMs.) Its largest customer is Japan's TEL, which accounts for 60-70% of sales. TEL has maintained a close partnership with the firm as its second-largest shareholder and largest customer since 2011.

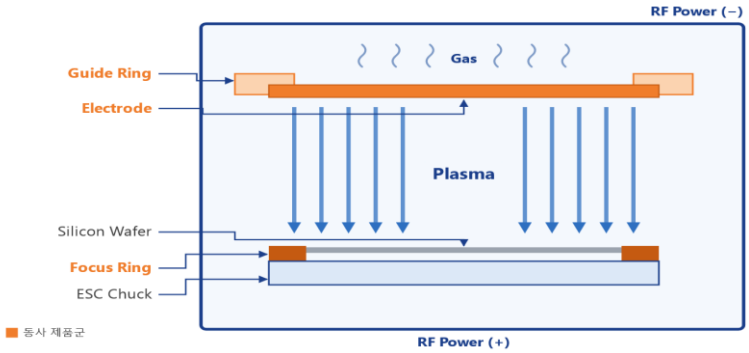
Hana Micron and five related parties are the largest shareholders, with a combined stake of 44.6% as of end-Jun 2026, followed by Tokyo Electron. In August, the company filed an amendment to a share pledge agreement that could result in a change in the largest shareholder. It also decided to issue W100bn in exchangeable bonds, exchangeable for Hana Micron shares, allocating W10bn to working capital and W90bn to debt repayment, with an exchange price of W34,388.

**Domestic parts suppliers' 2025 sales comparison**



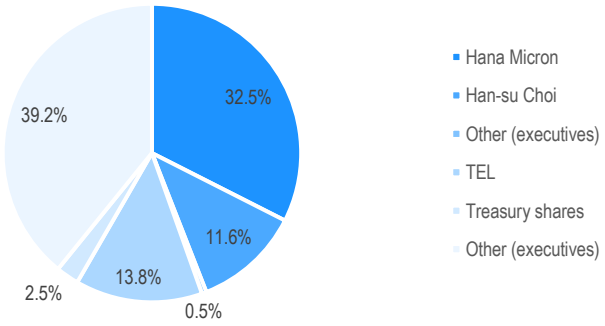

Note: Wonik QnC figures reflect quartz and ceramic sales; Worldex figures reflect silicon sales, representing 72% of total sales; Hansol Iones figures reflect precision machining sales.
Source: Yuanta Securities

**Schematic of an etching equipment chamber**




Source: industry data, Yuanta Securities

**Hana Materials: major shareholders**




Note: as of end-2Q26; source: the company's IR book, Yuanta Securities

# 2. WFE market likely to grow over 20% in 2027

With AI server demand causing memory shortages, semiconductor manufacturers are rapidly increasing investment.

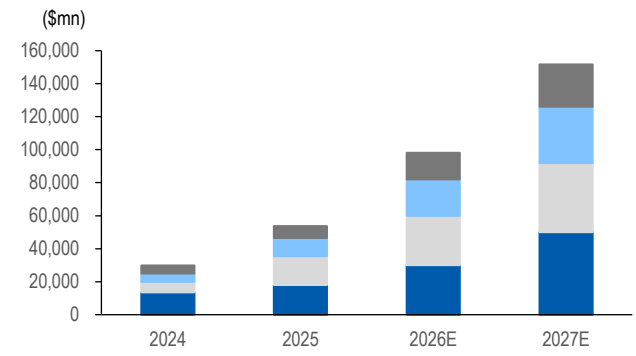
Global DRAM capex is expected to surge from $53.7bn in 2025 to $98.1bn in 2026 (+82.6% YoY), and $151.6bn in 2027 (+54.5% YoY). With growth exceeding 50% for two consecutive years, 2027 spending should reach 2.8x the 2025 level. Samsung Electronics is expected to pursue the most aggressive capex expansion, increasing spending from $30bn in 2026 to $50bn in 2027 (+66.7%). Front-end equipment installation at Pyeongtaek P4 should be completed by year-end, while P5 orders could begin as early as late 2026.
Global NAND capex amounts to only around one-fifth of DRAM spending and focuses on technology migration rather than new capacity. Global NAND capex is projected to increase from $21.1bn in 2025 to $23.6bn in 2026 (+11.8% YoY) and $29.9bn in 2027 (+26.7% YoY). Samsung Electronics is increasing shipments of V9-based QLC enterprise SSDs and is understood to have begun V10 mass production in 3Q26.

Higher investment naturally translates into equipment market growth.

At its Jul 2026 earnings release, TEL, Hana Materials' largest customer accounting for approximately 60-70% of sales, projected the size of the WFE market at over $150bn in CY2026 and over $190bn in CY2027, implying annual growth of above 20%. The combined share of DRAM and NAND in the WFE market should also rise from 35% in CY2025 to 40% in CY2026, benefiting Hana Materials given its high memory exposure. We particularly highlight TEL's guidance for etching equipment sales growth of over 25% in FY2027 (Apr 2026-Mar 2027) and its emphasis on having secured POR positions in memory capacitor and HBM-related processes.

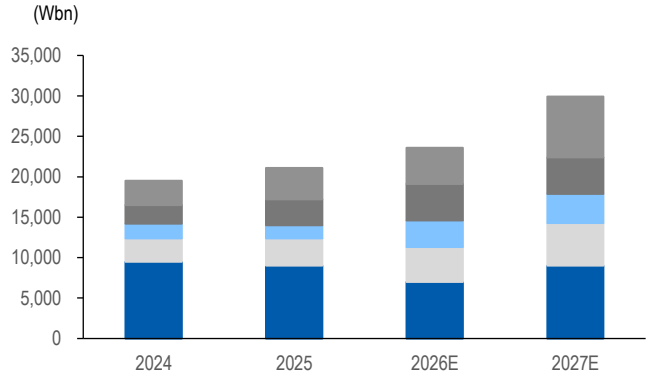
These processes are among the most technically demanding areas of semiconductor manufacturing. Securing POR positions should therefore translate into structural growth in parts demand over the medium to long term. As DRAM nodes shrink, capacitor production requires high-aspect-ratio (HAR) etching to form increasingly deep vertical structures that store sufficient charge within a smaller footprint. Higher aspect ratios require more powerful RF plasma, accelerating the physical wear of silicon electrodes at the top of the chamber and focus rings (Si/SiC rings) that surround the wafer and maintain uniform plasma concentration. In HBM production, the formation of interconnects electrically linking stacked DRAM dies is critical to yield. As the number of stacked layers increases, so does the number of interconnect etching steps. TEL generated tens of billions of yen in sales from DRAM interconnect etching equipment in FY2025 (ended Mar 2025) alone and targets cumulative sales of JPY500bn through 2030. Hana Materials currently generates limited sales from HBM interconnect equipment. However, HBM requires 2-3x as many wafers as conventional DRAM for the same bit output. Expanding HBM production therefore increases DRAM front-end wafer starts and demand for capacitor etching parts. We believe HBM contributes to the company's earnings primarily through increased DRAM front-end production volumes.

### Global DRAM capex and forecast



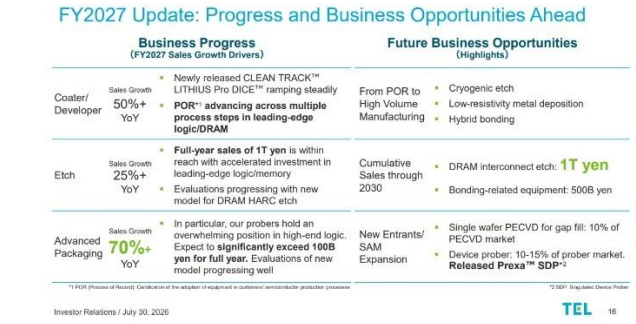

Source: industry data, Yuanta Securities

### Global NAND capex and forecast




Source: industry data, Yuanta Securities

### TEL's FY2027 business overview and plans



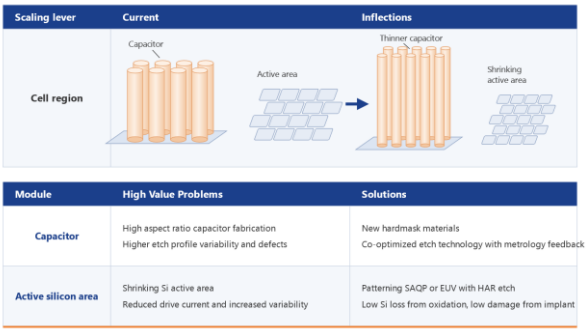

Source: TEL (as of Jul 2026), Yuanta Securities

### TEL's semiconductor equipment market outlook




Source: TEL (as of July 2026), Yuanta Securities

### DRAM scaling continues to raise difficulty of HAR etching




Source: industry data, Yuanta Securities

### TEL's flagship plasma etching platform, Tactras




Source: TEL, company data

# 3. Earnings forecast

### 3Q26 preview: OP estimated at W27.2bn

We estimate 3Q26 sales at W97.0bn (+7.9% QoQ, +39.3% YoY) and OP at W27.2bn (OPM 28.0%, +4.0% QoQ, +125.1% YoY), exceeding the respective one-month consensus estimates of W96.6bn and W26.1bn. 1) Domestic memory customers' NAND migration is progressing rapidly, while demand for silicon parts used in DRAM production is gaining momentum, particularly at advanced nodes of 1b nm and below. 2) These estimates already reflect unavoidable one-off costs associated with setting up dedicated facilities in 2H26, suggesting that the company is entering the early stages of stronger operating leverage from sales growth. 3) However, valuation losses on exchangeable bonds issued in 2Q26 will likely limit quarterly net profit to W1.6bn (NPM 1.7%, -91.7% QoQ, -82.2% YoY).

### 2027 OP estimated at W147.2bn

Given demand for new equipment from its key customers, we expect revenue to continue growing robustly to W474.0bn in 2027 (+25.6% YoY) and W592.5bn in 2028 (+25.0% YoY). 1) TEL guides for etching equipment sales growth of over 25% in FY2027. With its POR position in memory capacitor processes, it should be among the first to capture demand from domestic and overseas DRAM capacity additions. Its expanding installed base should also raise the baseline for replacement demand from 2028 onward. 2) Hana Materials continues to gain share at Lam Research. As Lam is the global leader in etching equipment, even a small share gain can make a substantial contribution to sales. Volume growth should accelerate further as global DRAM capex rises by 55% in 2027. Driven by a simultaneous increase in initial volumes on expanding equipment shipments across all three clients including domestic equipment maker, company "S," and replacement demand from memory fabs running at full utilization, Hana Materials' 2027 OP is expected to hit a new high of W147.2bn (OPM 31.1%, +43.7% YoY). As one-off expenses from establishing dedicated facilities in 2H26 fade, operating leverage should accelerate, with a substantial portion of increased sales flowing directly to the bottom line, enabling 2027 OP growth to far outpace top-line growth.

We judge 2027 earnings visibility to be remarkably high. Since memory suppliers have already locked in the majority of their 2027 volumes through LTAs with clients, upcoming capacity additions are likely backed by secured end demand. Thus, the rationale for massive capex seems strong and the likelihood of delays to investment execution low. As such, we estimate the company's 2027 DRAM and NAND production bit growth for the key domestic client at 21% and 15%, respectively.

**Hana Materials: quarterly and full-year earnings forecast** (Wbn)

| | 1Q25 | 2Q25 | 3Q25 | 4Q25 | 1Q26 | 2Q26 | 3Q26E | 4Q26E | 2025 | 2026E | 2027E |
|---|---|---|---|---|---|---|---|---|---|---|---|
| **Sales** | **58.3** | **63.9** | **69.6** | **81.0** | **92.5** | **89.9** | **97.0** | **98.0** | **272.9** | **377.3** | **474.0** |
| YoY (%) | 2.1% | 4.6% | 10.2% | 17.5% | 58.6% | 40.6% | 39.3% | 20.9% | 9.0% | 38.3% | 25.6% |
| QoQ (%) | -15.5% | 9.6% | 9.0% | 16.4% | 14.1% | -2.8% | 7.9% | 1.0% | - | - | - |
| Gross profit | 17.2 | 17.0 | 20.3 | 30.0 | 36.6 | 36.3 | 42.2 | 44.1 | 84.5 | 159.2 | 223.1 |
| Gross profit margin (%) | 29.4% | 26.5% | 29.2% | 37.1% | 39.6% | 40.4% | 43.5% | 45.0% | 31.0% | 42.2% | 47.1% |
| **Operating profit** | **8.7** | **8.6** | **12.1** | **21.2** | **20.7** | **26.1** | **27.2** | **28.4** | **50.6** | **102.4** | **147.2** |
| Operating profit margin (%) | 15.0% | 13.5% | 17.3% | 26.2% | 22.4% | 29.1% | 28.0% | 29.0% | 18.6% | 27.1% | 31.1% |
| YoY (%) | 41.5% | -10.6% | 0.0% | 37.9% | 137.7% | 203.5% | 125.1% | 33.8% | 17.0% | 102.3% | 43.7% |
| QoQ (%) | -43.4% | -1.3% | 40.3% | 76.0% | -2.4% | 26.0% | 4.0% | 4.6% | - | - | - |
| Pretax profit | 8.4 | 6.8 | 11.5 | 24.0 | 23.6 | 26.1 | 2.2 | 28.4 | 50.7 | 80.3 | 147.2 |
| **Net profit, controlled** | **6.1** | **5.4** | **9.2** | **17.6** | **17.6** | **19.8** | **1.6** | **21.5** | **38.4** | **60.5** | **109.7** |
| Net profit margin, controlled | 10.5% | 8.5% | 13.2% | 21.7% | 19.1% | 22.0% | 1.7% | 21.9% | 14.1% | 16.0% | 23.1% |
| YoY (%) | 12.5% | -3.2% | 12.6% | 40.7% | 187.6% | 262.8% | -82.2% | 22.0% | 20.8% | 57.6% | 81.3% |
| QoQ (%) | -50.9% | -11.3% | 69.1% | 91.0% | 0.3% | 11.9% | -91.7% | 1212.2% | - | - | - |

Source: Yuanta Securities

# 4. Checking mid- to long-term risk factors

Risk factors for mid- to long-term investment are: 1) intensifying competition and pressures to cut prices from the entry of latecomers; and 2) concerns over potential profitability dilution from investment in the new rechargeable battery business.

The entry of latecomers into the silicon parts market is becoming visible. During memory chip capacity expansion cycles, like the current one, intensifying competition does not affect earnings as demand outpaces supply. However, if memory supply/demand gradually eases after 1H28 when new facilities begin operating, caution is needed regarding expanded volumes from latecomers and demands to cut prices from chipmakers. However, even if pricing pressure materializes, we expect Hana Materials can maintain its competitive edge for three reasons. The first reason is cost competitiveness. The core raw material for silicon parts is large-diameter monocrystalline ingots, and the company has a vertically integrated production system internalizing everything from ingot growth to parts machining. This gives it an advantageous cost structure compared to latecomers that source ingots externally and focus primarily on machining. Second, tech migration continues to raise entry barriers. With DRAM advanced nodes and high-layer-count NAND, part specifications (purity, hole-drilling precision, larger diameters) change at every node, and new specifications require joint development and re-qualification with equipment makers. Having collaborated with its largest client, TEL, for over 15 years, the company can participate from the new equipment development stage, implying that volumes for advanced nodes, the key growth segment, are highly likely to remain centered on existing suppliers.

Meanwhile, Hana Materials is investing W70.2bn to build a mass-production line for silicon anode materials. After establishing a pilot line 2024, the company conducted rechargeable battery client tests using samples produced from that line, and is now understood to be moving into the mass-production testing phase. The mass-production facility will be built with an annual capacity of 900 tonnes at the currently vacant Asan Plant 1, targeting equipment set-up in 1H27. As client mass-production testing will likely take about a year, annual depreciation expenses of W5-8bn could be recognized first starting in 2027 ahead of full-scale revenue generation. However, we see no need for immediate concern over this. First, the cost burden is limited. Annual depreciation of around W5-8bn accounts for only 3-5% of 2027E OP of W147.2bn, and as the company is utilizing idle space at the existing Asan Plant 1, additional investment burdens for land and buildings are low. Second, this is not a new business disconnected from the core business. It should be noted that the starting point of this new business is by-products generated in the process of producing silicon parts, and that the company has previously spent several billion won annually to dispose of these. Third, demand is being driven by customers. For rechargeable battery makers seeking to enter the North American market, reducing reliance on China is essential. While competitors source silicon raw materials from China and Southeast Asia, the company can self-supply raw materials using internal by-products.

# 5. Reinitiate coverage at BUY and W100,000 TP

### Deeply undervalued at 2027E P/E of 9.9x

We reinitiate coverage on Hana Materials at BUY and a target price of W100,000, derived by applying a target P/E of 19.4x to 2027E EPS of W5,546. The target P/E reflects the upper end of the company's P/E band (19.4x) in 2021, the previous memory upcycle. The company's EPS is projected to grow to W3,059 in 2026 (+57.7% YoY) and W5,546 in 2027 (+81.3% YoY), marking an impressive two-year average growth rate approaching 70%. As both the magnitude and sustainability of earnings growth are stronger than in the previous cycle, we believe applying the peak multiple from the past upcycle is well justified.

Shares currently trade (as of close on Oct 21) at a 2027E P/E of 9.9x, near the lowest annual average P/E since 2017 (9.8x in 2018) and offering 82.0% upside potential to our target price. With memory suppliers securing the majority of their 2027 volume in LTAs and expanding equipment shipments from TEL, Lam Research, and company "S" raising the company's earnings visibility, we believe the stock is significantly undervalued relative to its earnings growth.

Going forward, three key points to watch for are: 1) capex momentum in preparation for 2027-2028; 2) rising ASP on the expansion of the high value-added SiC parts business; and 3) broader exposure to overseas foundries, all of which should be positive for future earnings and the share price.

There are three key watchpoints for the company going forward:

**1) Capacity expansion momentum:** The company has entered a phase where capacity expansion to support earnings growth in 2027 is becoming visible. Its current production capacity stands at around W400bn in revenue terms, and with 2026 sales forecast to reach the high-W300bn range, existing facilities are already nearing full utilization. Since 2027 estimated revenue of W474bn exceeds current capacity, additional capex to respond to client demand seems inevitable. Since the company's plant already has enough floor space to accommodate over W600bn in revenue, it only needs to add ingot growth equipment and machining tools without securing new sites or constructing buildings. Future capex decisions will likely serve as a catalyst confirming management's confidence in 2027 growth.

**2) Rising ASP on a higher mix of high value-added products:** SiC rings, which currently account for about 11% of total revenue, have higher unit prices than standard silicon rings given their superior durability, and their adoption is expanding alongside the increase in high-layer-count NAND and HAR contact etching processes. The company will likely benefit from expanding market demand as it is the second-largest player in the SiC ring before-market segment that is capable of vertically integrated production from CVD SiC materials to finished goods.

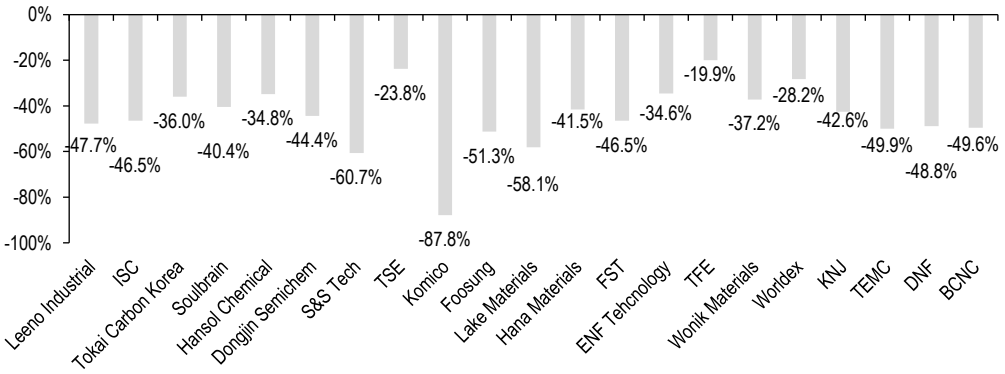
**3) Lower cyclical sensitivity on customer base expansion, mid- to long-term valuation rerating expected:** The key valuation discount factor for the company was its heavy reliance on a single client (TEL), which accounts for 60-70% of revenue, and its concentrated end-demand in memory. The company is understood to be conducing qualification tests for silicon rings for global foundry player, company "T." Since foundries show lower utilization volatility than memory fabs, confirmed entry will likely significantly reduce the cyclical sensitivity of the company's earnings.

**Hana Materials: target price calculation** **(won)**

| | 2017A | 2018A | 2019A | 2020A | 2021A | 2022A | 2023A | 2024A | 2025 | 2026E | 2027E |
|---|---|---|---|---|---|---|---|---|---|---|---|
| Adj EPS (excl. non-controlling stake) | 1,097 | 1,891 | 1,409 | 1,939 | 3,387 | 4,057 | 1,731 | 1,606 | 1,940 | 3,059 | **5,546** |
| Adj P/E (end) | 16.9 | 6.4 | 13.4 | 14.8 | 18.5 | 8.1 | 29.0 | 14.3 | 22.2 | 16.9 | 9.3 |
| Adj P/E (high) | 17.5 | 14.1 | 14.8 | 15.1 | **19.4** | 16.5 | 31.1 | 43.1 | 25.7 | 28.7 | 15.8 |
| Adj P/E (low) | 6.9 | 5.9 | 7.1 | 5.1 | 7.7 | 7.0 | 18.3 | 13.6 | 11.5 | 13.1 | 7.2 |
| Adj P/E (avg) | 12.0 | 9.8 | 11.3 | 10.6 | 13.4 | 11.4 | 25.9 | 27.3 | 16.4 | 19.8 | 10.9 |
| Target P/E | | | | | | | | | | | **19.4** |
| **Target price** | | | | | | | | | | | |
| Close price (as of Oct 21 close) | | | | | | | | | | | 54,900 |
| Upside potential | | | | | | | | | | | 82.1% |

Note: target P/E = upper value of 2021 P/E band
Source: Yuanta Securities

**Share price drawdown from 52-week high for domestic materials/parts makers**




Source: FnGuide Quantiwise, Yuanta Securities

## Hana Materials (166090 KS) pro forma financial statements (K-IFRS, consolidated)

### Statement of comprehensive income

| FY ends Dec (Wbn) | 2024A | 2025A | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|
| **Sales** | **250** | **273** | **377** | **474** | **593** |
| Cost of sales | 177 | 188 | 218 | 251 | 311 |
| Gross profit | 73 | 84 | 159 | 223 | 281 |
| SG&A | 30 | 34 | 57 | 76 | 95 |
| **Operating profit** | **43** | **51** | **102** | **147** | **187** |
| EBITDA | 75 | 85 | 136 | 177 | 215 |
| Non-operating profit | -2 | 0 | -22 | 0 | 2 |
| Forex gains | 2 | 0 | 0 | 0 | 0 |
| Net interest income | -6 | -3 | 0 | 0 | 0 |
| Equity-method gains | 0 | 1 | -25 | -3 | -3 |
| Other | 2 | 2 | 3 | 3 | 5 |
| Net prof before income tax | 41 | 51 | 80 | 147 | 189 |
| Income tax | 9 | 12 | 20 | 38 | 47 |
| Net profit from continuing ops | 32 | 38 | 60 | 110 | 142 |
| Net profit from discontinued ops | 0 | 0 | 0 | 0 | 0 |
| Net profit | 32 | 38 | 60 | 110 | 142 |
| **NP for controlling interest** | **32** | **38** | **60** | **110** | **142** |
| Total comprehensive income | -40 | 122 | 395 | 542 | 574 |
| Total comprehensive income, CI | -40 | 122 | 395 | 542 | 574 |

### Statement of financial position

| FY ends Dec (Wbn) | 2024A | 2025A | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|
| **Current assets** | **132** | **136** | **550** | **1,105** | **1,706** |
| Cash & cash equivalents | 31 | 35 | 427 | 954 | 1,518 |
| Accounts receivables & other | 29 | 33 | 40 | 49 | 62 |
| Inventory | 64 | 64 | 77 | 95 | 119 |
| Non-current assets | 441 | 549 | 731 | 737 | 735 |
| Tangible assets | 348 | 351 | 373 | 373 | 365 |
| Investment in affiliates | 18 | 18 | 22 | 27 | 34 |
| Other investment assets | 66 | 173 | 327 | 328 | 328 |
| **Total assets** | **574** | **685** | **1,281** | **1,842** | **2,442** |
| Current liabilities | 121 | 118 | 121 | 134 | 152 |
| Accounts payable & other | 22 | 37 | 45 | 55 | 69 |
| ST financial liabilities | 61 | 47 | 40 | 40 | 40 |
| Liquid LT liabilities | 27 | 24 | 24 | 24 | 24 |
| Non-current liabilities | 99 | 103 | 113 | 124 | 138 |
| LT financial liabilities | 88 | 64 | 52 | 52 | 52 |
| Debentures | 0 | 0 | 0 | 0 | 0 |
| **Total liabilities** | **220** | **222** | **234** | **258** | **290** |
| Equity, controlling interest | 354 | 464 | 1,047 | 1,584 | 2,152 |
| Paid-in capital | 10 | 10 | 10 | 10 | 10 |
| Capital surplus | 37 | 37 | 37 | 37 | 37 |
| Retained earnings | 316 | 351 | 406 | 510 | 646 |
| Equity, non-controlling interest | 0 | 0 | 0 | 0 | 0 |
| **Total equity** | **354** | **464** | **1,047** | **1,584** | **2,152** |
| **Net debt** | **142** | **100** | **-298** | **-825** | **-1,389** |
| Total debt | 180 | 137 | 132 | 132 | 132 |

### Cash flow statement

| FY ends Dec (Wbn) | 2024A | 2025A | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|
| **Operating cash flow** | **75** | **69** | **113** | **135** | **157** |
| Net profit | 32 | 38 | 60 | 110 | 142 |
| Depreciation & amortization | 31 | 33 | 33 | 29 | 28 |
| Forex gains | -1 | 0 | -1 | 0 | 0 |
| Affiliate investment gains | 0 | -1 | 25 | 3 | 3 |
| Increase in net working cap | 2 | -11 | -21 | -21 | -29 |
| Other | 11 | 8 | 16 | 14 | 13 |
| **Investing cash flow** | **-26** | **-12** | **-57** | **-37** | **-29** |
| Investment | -20 | 2 | -4 | -6 | -7 |
| Increase in tangible assets | -42 | -20 | -56 | -30 | -20 |
| Decrease in tangible assets | 0 | 0 | 0 | 0 | 0 |
| Other | 36 | 6 | 2 | -1 | -2 |
| **Financing cash flow** | **-46** | **-53** | **-55** | **-5** | **-5** |
| ST financial liabilities | -31 | -15 | -7 | 0 | 0 |
| Debenture/LT financial liabilities | -7 | -27 | 1 | 0 | 0 |
| Equity | -1 | 0 | 0 | 0 | 0 |
| Cash dividend | -4 | -5 | -6 | -6 | -6 |
| Other cash flow | -3 | -5 | -44 | 0 | 0 |
| Consolidation adj and other | 0 | 0 | 391 | 434 | 441 |
| **Increase in cash & equivalents** | **4** | **4** | **392** | **527** | **564** |
| Beginning cash & equivalents | 28 | 31 | 35 | 427 | 954 |
| Ending cash & equivalents | 31 | 35 | 427 | 954 | 1,518 |
| **NOPLAT** | 43 | 51 | **102** | **147** | **187** |
| **FCF** | **33** | **49** | **58** | **105** | **137** |

### Valuation

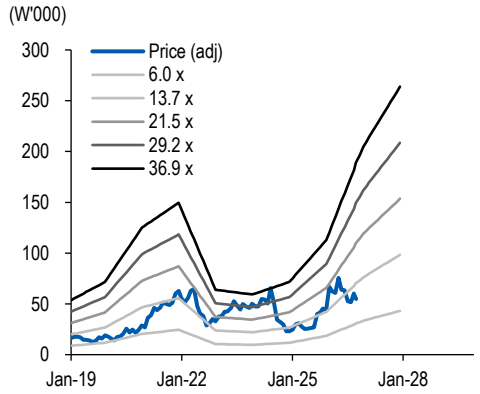
| FY ends Dec | 2024A | 2025A | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|
| EPS (won) | 1,606 | 1,940 | 3,059 | 5,546 | 7,156 |
| BPS (won) | 18,165 | 24,038 | 54,289 | 82,095 | 111,552 |
| EBITDA/shr (won) | 3,809 | 4,279 | 6,889 | 8,959 | 10,893 |
| SPS (won) | 12,663 | 13,797 | 19,080 | 23,966 | 29,958 |
| DPS (won) | 250 | 300 | 300 | 300 | 300 |
| **P/E (x)** | **27.3** | **16.4** | **17.9** | **9.9** | **7.7** |
| **P/B (x)** | **2.4** | **1.3** | **1.0** | **0.7** | **0.5** |
| **EV/EBITDA (x)** | **13.4** | **8.6** | **5.8** | **1.5** | **-1.4** |
| **P/S (x)** | **3.5** | **2.3** | **2.9** | **2.3** | **1.8** |

### Key financial data

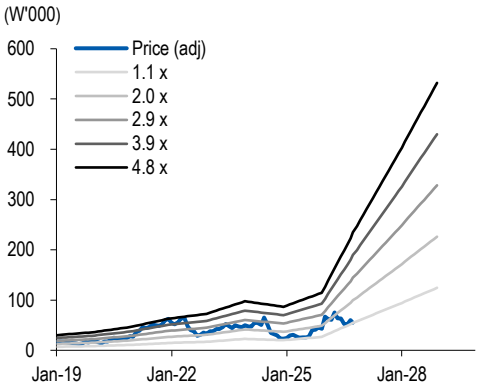
| FY ends Dec | 2024A | 2025A | 2026E | 2027E | 2028E |
|---|---|---|---|---|---|
| **Sales (% YoY)** | **7.4** | **9.0** | **38.3** | **25.6** | **25.0** |
| **Operating profit (%YoY)** | **3.4** | **17.0** | **102.3** | **43.7** | **26.8** |
| **Net profit, CI (%YoY)** | **-7.1** | **20.8** | **57.6** | **81.3** | **29.0** |
| Gross margin (%) | 29.2 | 31.0 | 42.2 | 47.1 | 47.5 |
| **Operating margin (%)** | **17.3** | **18.6** | **27.1** | **31.1** | **31.5** |
| Net margin, CI (%) | 12.7 | 14.1 | 16.0 | 23.1 | 23.9 |
| EBITDA margin (%) | 30.1 | 31.0 | 36.1 | 37.4 | 36.4 |
| ROIC (%) | 7.9 | 9.3 | 19.5 | 26.1 | 32.5 |
| ROA (%) | 5.1 | 6.1 | 6.2 | 7.0 | 6.6 |
| **ROE (%)** | **8.4** | **9.4** | **8.0** | **8.3** | **7.6** |
| Debt-to-equity (%) | 62.1 | 47.8 | 22.3 | 16.3 | 13.5 |
| Net debt-to-equity (%) | 40.1 | 21.5 | -28.5 | -52.1 | -64.6 |
| OP/financing cost (x) | 6.1 | 15.0 | 0.0 | 0.0 | 0.0 |

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

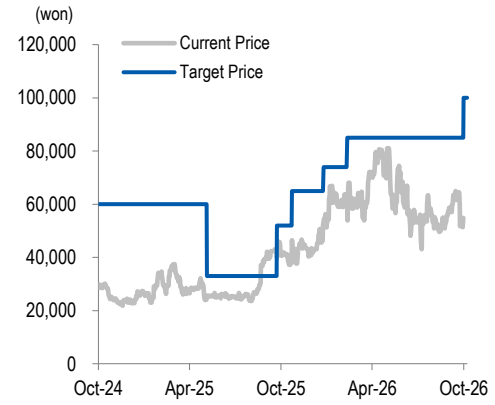
**P/E band chart**




**P/B band chart**




**Hana Materials (166090 KS) ratings and target price history**




| Date | Rating | TP (won) | TP time frame | Difference (%) | |
|---|---|---|---|---|---|
| | | | | vs avg price | vs high (low) |
| 2026/10/22 | BUY | 100,000 | 1 yr | | |
| 2026/03/03 | BUY | 85,000 | 1 yr | -27.92 | -4.59 |
| 2026/01/15 | BUY | 74,000 | 1 yr | -18.26 | -9.59 |
| 2025/11/13 | BUY | 65,000 | 1 yr | -32.19 | -20.15 |
| 2025/10/14 | BUY | 52,000 | 1 yr | -21.36 | -11.73 |
| 2025/05/27 | BUY | 33,000 | 1 yr | -14.06 | 30.76 |
| 2024/08/23 | BUY | 60,000 | 1 yr | -52.44 | -37.67 |

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

| Rating | Share (%) |
|---|---|
| STRONG BUY | 0 |
| BUY | 96.9 |
| HOLD | 3.1 |
| SELL | 0 |
| Total | 100.0 |

Note: As of Oct 22, 2026 Excluding reports written or published by overseas affiliates

## Appendix: Important disclosures

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- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
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  **- Buy:** Expected to return between 15% and 30%
  **- Hold:** Expected to return between -15 and +15%
  **- Sell:** Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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